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Zoetis, Inc. (ZTS)

Bank of America Securities Animal Health Summit

CORPORATE PARTICIPANTS

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

OTHER PARTICIPANTS

Michael Ryskin

Analyst, Bank of America Merrill Lynch

MANAGEMENT DISCUSSION SECTION

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Thanks. Joining me here is Glenn David, CFO. So.

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Good morning.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Thanks for coming in.

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Of course.

QUESTION AND ANSWER SECTION

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

I guess my opening question is – I'm going to be pretty consistent throughout the day, but I'll try on you first is, you recently reported 4Q results, had a very impressive 2019. Sort of sitting where we are now, if you could look back to where we were a year ago when you first sort of gave your outlook for the year and your expectations going on the year, what went better, what went worse? If anything went worse, sort of where were you able to beat and how did the year progressed relative to your initial expectations?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. So like you said, overall 2019 was a very strong year for us. We had 10% growth in revenue for the year, 8% when you take out the impact of Abaxis. So, really strong performance. Like any other year, sometimes some things go a little better, some things are a little more challenging. When we look at 2019, probably some of the areas that were a little more challenging were probably US cattle, the impact that we had there in terms of some of the challenges to growth that we had in cattle. Also the impact of African Swine Fever that we articulated around the \$50 impact back in 2019.

One of the biggest areas of surprise or positive performance for us was around companion animal. Very strong growth in companion animal was really across the entire portfolio. So A, starting with the derm portfolio. Over \$750 million in revenue in the derm portfolio in 2019; 29% growth in that portfolio. So, that portfolio continues to show that still there's opportunity for growth. Very strong performance of Simparica, and then also launches of some other products as well.

So ProHeart 12, the launch there went extremely well. Revolution Plus for cats performed very well. We were able to convert the majority of our patients, particularly in the US, from Revolution to Revolution Plus which protects us as we move forward with – and with potential generics for Revolution. So really just strong performance across the entire companion animal portfolio. Companion animal for us grew 23% within the year, which was probably above our initial expectations.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

And if we think about looking ahead to 2020, your initial guide just high level your views on the market as you sit today, some of the bigger pushes and pulls. You touched on ASF for 2019,...

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

...so what are your expectations there; dairy markets, cattle markets in the US [indiscernible] (00:02:23)?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Sure. So overall, when we look at the market for 2020, we expect growth to probably be in the 4% to 5% range. We articulated that the growth that we expect for Zoetis to be in the range of 7% to 9.5%, with the majority of that growth being organic. A little benefit from some of the acquisitions that we made in reference labs as well as with Platinum Performance, but really the majority of that 7% to 9.5% coming organically. So again, we expect to outpace the market as we move into 2020.

Again, we would expect that companion animal will grow more rapidly both for the market, but also for Zoetis as well. And then the other area that we expect to grow rapidly continue to be poultry. We've seen strong performance from poultry moving forward. We would expect cattle to continue to perform at a slower pace than the overall market, but we do expect cattle for Zoetis to grow in 2020; and then swine as well we expect to return to growth in 2020, but probably growing a little slower than the overall market in terms of swine itself. But again, we do expect that we will be at or faster than the market in all of the species that we compete in.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

And that outperformance in cattle and swine, is it something specific to your product portfolio there? Is it your positioning geographically, just execution?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. We think it's positioning of us geographically, execution our portfolio. You mentioned African Swine Fever, we have the \$50 million impact in 2019. We expect that to level off in 2020, so we wouldn't expect another negative impact in 2020. We would expect to grow off of where we ended 2019. We think that'll benefit us.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

Okay. Taking a step back sort of at the bigger picture all of the questions these days is the macroeconomic backdrop, sort of the overall view on the economy, a lot of the other terrible events happening in the world outside of animal health specifically. We typically think of animal health as a very defensive and sort of recession-proof sector. What gives you confidence on that? I mean, it's been [indiscernible] (00:04:20) public company in 2008-2009, so there's not a lot of data to back check this. But sort of what have you seen from both companion and livestock that gives you confidence [indiscernible] (00:04:29)?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Well, there are a couple of things that give us confidence in that. A, pets have really become part of the family and taking care of your pet isn't necessarily considered a luxury item which is what people typically pull back on in a recession. So, that we see is a very resilient market. And then also protein consumption is also very resilient. What you may see as people may switch from beef to poultry or to swine, but people are still going to need to eat protein and that provides resilience.

When you look back to the 2008-2009 period, the animal health market actually did grow in that period. It was low-single digits. After the impact of FX, sort of wasn't as strong as it typically [ph] grew (00:05:03), but it showed a lot of resilience even in the 2008-2009 time period. And I think because of the factors I've mentioned in terms of pets being part of the family, protein consumption being critical, it does provide a lot of resilience.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

And when you think about – you mentioned pet being part of the family and so how important and how sticky that spending is? When you think about that at the same time a lot of that spending, you've got the – you've got a weird dynamic in animal health where you've got the vet as a customer and the pet owner as a customer. So you've got both sort of in your side to drive your product. Can you talk about the relationships Zoetis has with the vets and how critical is the vet in driving purchasing behavior or just general trends?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. Zoetis has a very strong relationship with the veterinarians and we see the vets as obviously as a key customer base. And we've been committed to the vet since we've been a public company and well before that as well. As you mentioned, the market is evolving. Consumers are becoming more and more important. And we want to make sure that we make our products available to consumers in any way that they would like to purchase as long as there is a valid vet prescription available.

Couple of things to think about as you think about that though is, when you look at our portfolio overall, greater than 50%, closer to 60% of our overall sales have to be administered within the veterinary office; [ph] either via (00:06:25) injection, vaccines, surgical products need to be administered within the vet office. So, that leaves the remainder that can be available either in the vet office or through alternative channels. And one of the things that we've tried to do to make it a level playing field between the vets and these other channels is, we implemented minimum advertised pricing so to make sure that the pricing was favorable to all consumers whether in the vet channel or outside of the vet channel.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

I'm going to follow up on that later, but I want to just take this a little bit further. For a lot of the products you sell, especially in the companion animal space, but could be applied in the last [indiscernible] (00:07:01) as well. There's a number of alternatives that the vet have like when we look at the [ph] pet space (00:07:05) for example, there's four oral flea and tick drugs, there's a number of topical drugs, there's a number of options for heartworms. So how do you sort of leverage the strength of the brand, the breadth of the portfolio to make sure that vets are prioritizing your products?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

So, it's a number of things. It's the quality of our field force and the relationships that they built with the veterinarians over time. It's also the quality of our technical field force. We provide a lot of technical service to the veterinarians as well, and we think we have the strongest tech services in the industry as well. Then it's also the breadth of portfolio and how we are able to leverage that portfolio within the veterinary clinic across diagnostics, across preventatives, across vaccines, and really provide an overall sale to the vet.

We have the broadest portfolio particularly in companion animal of any company in the industry, and we think that definitely benefits us when we interact with the veterinarian. We're able to leverage that even more fully now with diagnostics point-of-care as we expand into reference labs. We really have a very large share of the vets' wallet and can leverage that in our interactions with them.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

And what about your relationship with distributors both traditional and some of the alternate channels that have popped up in recent years?

Q

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Yeah. So the relationship with distributors is strong. The majority of our products are available via distribution. There are a few that we currently are only available direct, that'll be Apoquel, Cytoint, Cerenia, Palladia. But the majority of our products are available via distribution. The relationships are strong. But the key thing for us is, we do view our sales force as key in driving that sale with the veterinarian and maintaining the relationship with the vet.

A

We work with our distribution partners closely for logistic services and other factors as well. But it's really our field force and the quality of our field force that maintains that relationship with the vet and drives the overall sale.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

And on that point, so what was the – can you talk us through the rationale to implementing the minimum advertised [ph] pricing and the math...(00:08:55)

Q

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Yeah. So the rationale was really at the level of playing field across the vet channel as well as the other channels as well. In the past where we weren't dealing directly with some of the alternative channels, people were getting product through the gray market and the pricing wasn't comparable in the different channels. They're able to sell even below what we were selling at list just to generate the sale. So we wanted to make sure that A, that our products were available wherever consumers wanted to get them. But that was a level playing field, whether they were getting it at the vet office or via these other channels.

A

Michael Ryskin

Analyst, Bank of America Merrill Lynch

And what's been the response from vets and that's not something that's helping them retain some of the revenues.

Q

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Absolutely. Absolutely. They feel like they can now compete versus having to deal with other channels where the pricing wasn't necessarily comparable.

A

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Is that something that's broadly – pretty widely adopted by the other manufacturers as well...

Q

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Yes. It is.

A

Michael Ryskin

Analyst, Bank of America Merrill Lynch

... [Indiscernible] (00:09:45) became the standard.

Q

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

It has become the standard.

A

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Yeah. Okay. And then, you mentioned that you are [Indiscernible] (00:09:53) specifically you only offer directs, whereas the others go through distribution. Can you talk about some of the programs you have there in terms of bundling and offering potentially discounts on some of your products if the vet chooses to sell or emphasize [Indiscernible] (00:10:10) back quite frequently from [ph] our channel check for VMS (00:10:13)?

Q

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Yeah. And there are a number of programs that we have to do that again to really get benefit from the breadth of the portfolio that we have. So one example is the My Zoetis reward programs which, based on the level of spending a vet has across our portfolio, enables them to get additional discounts based on the level of purchasing. So, that's one way.

A

Also with the diagnostic portfolio, we're able to offer programs that allow our customers if they purchase a point-of-care instrument but commit to increasing the level of sales they have with us on other products such as vaccines, on consumables, they're also then able to get point-of-care instrument for free or at a significant discount. So we're able to leverage portfolio in many ways across diagnostics, but also across the core pharmaceutical portfolio as well.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Switching to diagnostics on that topic then, so what's been the uptake there that you've seen that – are those types of programs helping you gain share in diagnostics? Are they helping you gain share with your therapeutics portfolio, sort of where have you seen the biggest payoff there?

Q

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

So, I think it's been both. We're definitely starting to see it in the diagnostics portfolio. In 2019, it was a year of transition for us with diagnostics. So, right now where we are where we ended the year. We have a fully integrated field force within the US across our therapeutic area representatives, but also with the diagnostic specialists as well. We have one integrated field force right now.

A

Also in 2019, one of the key areas of focus for us was to build that same diagnostic specialty field force in the international markets. When we acquired Abaxis, they had the diagnostics specialists within the US, but they didn't exist in the international markets, and we are now fully built out there in the international markets. And we're starting to see much more rapid uptake and a lot more placements occurring as we ended the year and that gives us confidence as we move into 2020.

In 2020, we would expect our diagnostics portfolio to perform well above what we expect the overall Zoetis revenue growth to be, because of the momentum that we started to see at the end of the year.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Are you're seeing – sort of what sort of uptake are you seeing in terms of consumables utilization on those vaccines? I mean, we've gotten the notice that you're certainly poising a lot of instrument, part of it is through things like the [indiscernible] (00:12:23). Are you seeing pickup in utilization as well?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

We are seeing pickup in utilization as well. It is a little early at this point, as you mentioned, because the units have just been placed.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Yeah.

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

But we are seeing pickup in consumables as well. And again, there's also been the commitment for pickup within our core portfolio, whether it's vaccines or other medications as well.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

And again, with the vets we talked to, one of the big selling points that comes across is the no contract and sort of the minimal contract with Zoetis...

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Yes.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

...as far as Abaxis placements for lot of these are? One-year contract sort of the terms are very open, it's up to the vets to use as much as they want to. Is that something that you're going to potentially change in the future as [ph] you go to grow an install base, is there (00:13:04) something there just as initial ramp or is this part of your strategy?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

No. It's part of our strategy going forward. We want to be a company that's easy to do business with us and we want you to stay with us, because we're providing the right level of service. So, we don't want to lock people into contracts. But in the end if they don't feel we're providing the right amount of service, they should be able to get out of the contract. We're confident that we'll provide that level of service that people want to stay with us versus trying to lock them into a contract and then creating a negative relationship overall.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

And what about the technology side or the portfolio side of things at Abaxis? Is that some place where when we covered them they always lagged behind the competition in terms of innovation?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yes.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

You have some new products come out right around the time of the deal, sort sediment analyzers, some of the rapid assays. Can you talk about the pace of innovation in the point-of-care portfolio?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. So one of the key focuses that we had in 2019 that will carry into 2020 and one of the biggest challenges that we saw with the Abaxis portfolio when we acquired was around connectivity. And that's an area that we put a lot of emphasis on in 2019 and have gotten solutions that we're now rolling out to our customer base right now.

And we think once we improve the connectivity to the PIMS systems then we'll be in much more of an equal level playing field to our competition. So, that was a key focus in 2019 and will be the focus in the first half of 2020 as well. One of the areas – other areas of focus from a technology perspective was to integrate Abaxis into our one SAP platform so that we can provide one face to the customer moving forward and we expect that to be completed in the first half of 2020 as well.

And then obviously, as we've gotten to learn the portfolio more integrating that within our overall R&D portfolio and then understanding what the investments need to going forward and what innovation the market needs in bringing that to the marketplace as well.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

Are there any glaring holes in the portfolio from where you stand today? What are your first focus plans?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

So we don't really see any glaring holes in the portfolio today. When we look at the instruments that we have and the products that we have available and the tests that represent 95% to 100% of the tests that occur, we believe

we have the key products that we need. It's really just improving the connectivity and then building the relationships with our vet customers to understand the value of having the overall portfolio and the relationship with Zoetis.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

I mean, it's still really the VetScan that drive things, right?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Yes. Yes.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

It's the VetScan first and foremost then I would imagine with sediment analyzers.

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Yes. Absolutely. Yeah.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Yeah. Okay. And then also around the diagnostic side of things, you made another big splash late in 2019 with some of the reference lab purchases and those have continued, and then Phoenix, ZNLabs and then a couple of weeks ago you announced [indiscernible] (00:15:44) Could you give us an update on where you are with those deals? And also just the overall view of the reference lab business in the United States, the market as you see it today.

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Yeah. So when we look at the reference lab business and the point-of-care business, they're both very rapidly growing spaces and we have the relationships with the customer base. When you look at reference labs right now, it's really duopoly at a national level. But what we've seen is that there are certain third-party players that in a particular geography have been able to gain significant share and have proven out that there is a need and a desire for a third player within the marketplace.

And that was really the focus of the acquisitions that we did within the US. It was picking up some players that in a local geography were able to gain significant share. It also allowed us to acquire capabilities to then expand and create a national footprint. So, that is going to require investment within 2020, and it is somewhat dilutive to EPS by about \$0.03 or \$0.04 for the investment that we're making in reference labs, but we think that investment will provide a very positive return over time.

We do believe there is a need for a third player within the marketplace. From an international perspective, we'll take a similar strategy. We'll search out areas of opportunity to invest in players that have gained significant share in any particular marketplace, and then to build that full geographic expansion internationally as well.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

Just to clarify the \$0.03 to \$0.04 dilutive in 2020, is that straight from the M&A or is that from the M&A as well as the investment?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

It's from the M&A as well as the investment of the build.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

Okay. Okay. And with the acquisitions you've done so far, I mean is there any work that goes into integrating them together, making sure that – if you send your sample to ZNLabs versus you send your sample to Phoenix, you really are getting consistent results across the board?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. Absolutely. There is work that's undergoing in terms of integrating the ones that we acquired to make sure that we have a consistent platform [ph] for what (00:17:37) we're going to expand off of.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

And how does that work right now? If I'm a veterinary customer in the United States, let's say I'm considering a switch away from [indiscernible] (00:17:48) do you have the capacity to handle additional volume, how quickly you're adding capacity? Sort of is this something that you're already approaching your vets [ph] worth (00:17:55) saying, hey, we have – if you're using Abaxis [ph] in health, we have reference on our (00:18:00) capabilities or is it something that's going to take a lot of time to build out?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

So in certain geographies where the capacity still exists, we'll be able to approach the veterinarians today. We do believe that it will take a little more time to really get that full national geographic presence and be able to provide the response time that might be anticipated from the veterinarian. But where we have acquired that capacity in local areas that we can, we will be doing that and we'll try to expand as quickly as possible. But we want to do it in a measured way and make sure that we're able to provide the right level of service to our customers before we just expand too rapidly.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

And what's the rest of the landscape beyond [indiscernible] (00:18:36)? I mean, how many more of these in the pedal lines, are there sort of worth the runway to keep [indiscernible] (00:18:41)?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. There aren't that many more at a significant scale within the US. So there may be a couple more that we can do, but it'll mostly be organic build at this point in time. Internationally, there are some opportunities and we'll continue to seek those out and then look to build organically as well.

Michael Ryskin*Analyst, Bank of America Merrill Lynch*

Q

Okay. Moving on to perhaps what's probably been the biggest question we've gotten in the last year and a half. You got a small drug launched up in the near term, probably [ph] not that (00:19:10) meaningful. Anything you want to talk about there sort of...

Glenn C. David*Chief Financial Officer & Executive Vice President, Zoetis, Inc.*

A

No. What drug are you talking about?

Michael Ryskin*Analyst, Bank of America Merrill Lynch*

Q

Yeah.

Glenn C. David*Chief Financial Officer & Executive Vice President, Zoetis, Inc.*

A

So obviously, we're very excited about Simparica Trio. And just to reiterate some of the things that we said on the call. We do expect – obviously subject to approval, but we expect approval in Q1. Typically with a new product, it will take about six to eight weeks to get fully prepared for launch in terms of shipping of tablets, packaging, things of that nature. Obviously based on the importance of this product, we're doing everything we can to shorten that timeframe and expect to be able to do that.

But really the focus we get a lot of questions is, is it going to be Q1, is it going to be Q2? This is a significant product for us for the long term. Obviously, we want to have the product available for as much as possible for the peak season which we see as Q2 or Q3. But again, the real importance of this product is the long-term benefit and the long-term sales that we expect to get out of it. So we want to make sure that we're launching it as successfully as we possibly can.

Michael Ryskin*Analyst, Bank of America Merrill Lynch*

Q

And talking about that sensitivity and the 3Q season specifically, can you walk us through the purchasing pattern, the order pattern that you've seen in the past? What Simparica or potentially Revolution Plus in terms of when do people stock up, when do the purchases get made? Sort of what's the lead time there?

Glenn C. David*Chief Financial Officer & Executive Vice President, Zoetis, Inc.*

A

Yeah. So we typically see that the peak sales are in Q2 and Q3. However, to your point, some of those orders are sometimes taken within the Q1 timeframe. However, with Simparica Trio there is significant awareness in the marketplace that this product is coming soon, and we think that may influence a little bit of that pattern. And again, with the peak sales being Q2 and Q3, we expect to be in the market during that timeframe. Would we have liked to been a little earlier? Absolutely. But overall, we expect to be on the market for majority of the season.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

And what about additional markets for like Europe and Canada? You already got approval in both. Are you waiting to just have a synchronized global launch or...

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

No. So, we've actually – we've already launched the product in Spain, Italy and the UK, and we'll launch in different – in additional markets in the coming weeks. So we are launching the product internationally. And then subject to the approval in the US, we'll get the product on the market as quickly as possible.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

Okay. Have you seen any sort of – ahead of the launch, have you seen any response by some of the other players? I mean, it's a very competitive landscape; NexGard, Bravecto, Credelio, and also even internationally NexGard SPECTRA in Europe and Canada. Have you seen any steps taken by some of the other players in terms of pricing or any bundling dynamics?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Absolutely. As anticipated, with the excitement around Simparica Trio and the expectations that the marketplace has for it, our competitors have been out there obviously offering discounts and other things on their product, but that again has to be expected. And again, that may have an impact in a quarter basis or something of that nature. But for the long-term success of the product which is what we're focused on, we don't see that having a significant impact.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

As we look forward to the approval in the next coming weeks, sort of what are the key factors we should keep an eye on? I mean, we've talked about the puppy label and the age that comes in, that could play a big role. Is there anything off on the label that we should be monitoring that will give us some sense of, is there upside [audio gap] (00:22:28)?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

No. As we talked about, we do expect to have the puppy claim at approval. The rest of the label, as we get final approval, have a better understanding of. I don't think there's anything in particular that you need to look for in terms of the sensitivity of the \$150 million. Obviously, the \$150 million is our base case forecast. It's a new product launch. There could be sensitivity up or down around that depending on our success in launching the product and the receptivity in the market to it. But again, we're confident with the work we've done to come up with that estimate and the market research we've done that supports that \$150 million estimate.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

Okay. And from some of the challenge that we've done, I was a little surprised actually at how much – I mean, your vets are definitely aware of it. But the most common answer I get back when I talk to vets about it is, well, it

depends on how they price it. And we talk about, aren't you excited [indiscernible] (00:23:24) it depends on how they price it. So have you thought about that, and can you talk about how you've priced some of – how do you determine price [ph] from your other products from (00:23:30) the past?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Yes.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

I realize you may not have the final numbers set, but if you look at sort of Simparica standalone, ProHeart standalone, sort of what are the criteria you're taking?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Right. So there are a number of steps that you do when you establish the pricing for a major product that you expect to be launching. And obviously, you do a lot of market research as well with surveys to vets trying to get a sense of if it's priced at this point, what would be the level of adoption if it's priced at this point, and then you try to come up with that optimum point of price and volume that maximizes not only revenue but margin.

So when we look at Simparica Trio overall, we have been pretty clear that it'll be priced at a significant premium to Simparica. And then the benchmarks that you would look at would be Simparica and ProHeart, also the two leading parasiticide and heartworm medication out there. What are they priced at and then where would you price around that? So, we haven't disclosed the pricing yet, so I don't want to do that here, but overall that would be what we would look at.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

If you want to do it here, I [ph] won't talk to you by all means (00:24:30). The other thing that comes back a lot is people's reception to ProHeart 12 from vets. I think that's one area – I mean, you touched on earlier, that's one area where we were pleasantly surprised [indiscernible] (00:24:42) in terms of the impact in 2019, because given you've had ProHeart 6 on the market for such a long time. We thought that it would be sort of an incremental but not that meaningful, but the response from vets really was striking and that just gives them another option.

When we think about the Trio opportunity, a lot of it comes from not necessarily displacing the existing flea and tick players, but it comes from displacing Heartgard given sort of the stranglehold they have on the heartworm market. Do you think ProHeart 12 gives you an added advantage there? Were you're already talking to vets about it? Are you getting them to consider Zoetis more and more than they may have in the past and therefore it makes sort of the Trio conversation as the next step even easier?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

No. I think it [ph] doesn't (00:25:22). I think also the improvement that we've had with Simparica as well gives us that next step. I mean if you take a step back, go few years, we were significantly underrepresented in the parasiticide space as well as the heartworm space. But with the innovation that we bring with Simparica and the level of market share that we've been able to gain being the third player into that marketplace and then also the momentum that we have right now with ProHeart 12 and the adoption that's gone very well, and we're not just

cannibalizing ProHeart 6 with ProHeart 12, we're taking share from competitors with ProHeart 12. So, our relevance in this space has increased significantly over the last number of years, which I think sets us up well for then introducing Trio which will be significant innovation into the marketplace.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

And when we think about the overall parasiticide market and how that \$150 million falls into it, I mean, we think of it as about a \$4.5 billion to \$5 billion market, growing roughly mid-single digit, maybe mid- to high-single digits, but yet you've got a ton of share gainers and losers if you think about the orals versus the topicals over the last couple years. Do you see Trio sort of a continuation of that trend or is it going to be dramatically different in terms of, are you expecting a lot more market expansion versus a lot more share gains or losses? Sort of how do you fill the marketplace out over the next couple years, not just 2020?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. So, I think when you look over the next number of years, I think it's where is the revenue going to be sourced from. And when we look at Trio, I think there are couple different areas. Obviously, the orals, that would be one area where we will be able to source, but also, how much that's gone OTC? How much of that can you bring back to the vet channel because of the convenience and the efficacy that we would expect from the product? How much of that can you bring back into the vet channel? And I think over time, that'll determine the overall level and how big of a market expansion that Trio creates.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

And you think – and what about compliance and utilization? A lot of the stats we've seen is that compliance for both flea and tick and for internal parasites is incredibly low [indiscernible] (00:27:24) 2 to 3, 3 to 4 months of a year when it should be 6 to 12 months. Do you think Trio gives you an added advantage there or is that a potential headwind in that if people are still uncompliant after all these years, it's going to be even harder to drive them higher?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. So, we do think it gives us an added benefit there. This is a product that needs to be taken monthly. And like to your point, right now the average use is well below what it should be from a compliance perspective. So if we can move that three months to four months or the four months to five months or the five months to six month, over time that will generate a significant level of sales and also a lot of the alternative channels that are being developed have better tools to encourage compliance. So, we're excited about that and what that will mean for Trio as well as our other products.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

Yeah. I guess, if we think beyond some of the high growth drivers, [ph] like a (00:28:17) Trio beyond the diagnostics portfolio, beyond derm, the rest of the companion animal portfolio really surprised the upside in 2019. I think relative to our model, if we look back to where we were a year ago, that was where the majority of the outperformance came in as the other companion products, whether that's Revolution Plus and ProHeart or Rimadyl, Convenia, is there anything that really stands out for you as to why you have such a strong [ph] overlap (00:28:41) performance there?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. I think there are couple of factors. A, just globally is the breadth of the portfolio and being able to leverage the breadth of the portfolio. Sometimes I laugh, we get questions, if you exclude Apoquel, if you exclude Cytopoint, if you exclude Simparica, if you exclude Revolution Plus, like you're [indiscernible] (00:28:57). We have a very broad portfolio, which is – it's actually a good question to get. The other thing that really stands out is our growth in emerging markets. Very strong growth in emerging markets from a companion animal perspective, and I use China as a great example.

China in 2019, we had the impact of African Swine Fever, which was about \$50 million impact. Yet the growth in China was essentially flat from 2019. And that was because of tremendous growth in our companion animal portfolio.

We did launch Apoquel in China. That was a contributor as well. But it was really from products that have been on the market for a long period of time, but just the investments we've made in the marketplace, the penetration we're able to have in the clinics that drove tremendous growth in companion animal and China is becoming one of our largest companion animal markets.

And we've seen growth in companion animal and other markets as well such as Brazil, Simparic in Brazil. It's our largest international market on the level of sales that we have for Simparica or Simparic as it's called in Brazil. So, we're really seeing the benefit of that growth as well the growth in emerging markets in companion animal.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

Yeah. And if we think about some of the major product that are contributing to growth, you talk about Apoquel and Cytopoint for example. It's been an area that others are obviously investing, have been for a while. I think one of the things we've been most surprised then is how long it's been without a competitive entrant in the derm space. So, sort of what are your views there and do you see any particular part of the portfolio that's overexposed to or a potential area of risk in 2020 or beyond from competition?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. So, when we look at the derm portfolio, we're not really expecting competition in 2020 based on the information that we have. But again it's very hard to get an understanding of where our competitors are because not many are public and we don't really disclose that much information in terms of where we are with our R&D programs.

But based on what we know today, we would not expect competition in 2020. But – to that point, we built a \$750 million franchise, we've shown the market opportunity, we would expect competition to be coming over time.

With that, what I'll say is we have two products that have shown very strong efficacy and a very strong safety profile. So, there's a pretty high bar that we set in terms of competition and being able to really have a significant impact on our overall share.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

Any other part of the portfolio, any major products on livestock or anything else that we should be keeping an eye on as potential IP running?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. I mean the major product that we have from a generic perspective, not in 2020, but coming in 2021, we would expect generic competition for Draxxin coming in 2021. Again, like we do with all of our products, we make lifecycle innovation enhancements to try to minimize the impact of that generic competition. And again, just to reemphasize, the impact of generics in animal health is very different than what you would see in human health. So we would expect for Draxxin typically what we see with other products, about a 20% to 40% impact on revenue over time.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

And I think you've seen that in the past with things like Rimadyl for example.

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yes.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

There were a numbers of generic entrants in the, like, 2007 to 2010 range and every year you saw Rimadyl go down, maybe 10% and then recovered.

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. And then recovering. In certain years it actually grows. In certain years it goes down. You don't see – similar to that, you would see in human health, you don't see an 80%, 90% decline in sales the first year and then no recovery after.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

Yeah. All right. Are there any questions from the audience? So, a couple. Yeah. Yeah.

Q

Hi. You talked about the \$150 million incremental from the Trio this year. Just based on what you've seen typically with product launches and kind of the curve that it goes at, would you expect that number to be higher in the second year?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. Absolutely. We would expect incremental revenue in the second year. You know, we got...

[indiscernible] (00:32:49)

Q

...\$150 million like above that – above that number on an incremental basis?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

So, we haven't disclosed what we expect 2021 sales to be specifically for Trio. Couple reasons. We also haven't disclosed a peak sales estimate. And part of that comes back to the competition question in terms of knowing when a competitor will be entering the market. We don't have anticipation currently that there will be a competitor entering the market in 2020. That's not built into the \$150 million incremental. But to really get into revenue projections beyond 2020 without having an understanding of what level of competition we may or may not be facing from a triple combination would not be appropriate at this point in time.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

All right. Going back to the 2020 outlook, I think one of the things we often talk about is all the investments you're making in the P&L, both SG&A, R&D and you've also got some unique one timers in terms of incremental effects on the gross margin wise, things like that, the M&A angle for example. When I think about this relative to your prior years, still guiding to some decent margin expansion, but not quite to the prior range. Is this more of a catch-up, an investment catch-up in spend, or is it more of a one-time or is this sort of the new level of spend that we should expect going forward, sort of what's the long-term the latest model look like?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. So, I think, I'll just step back to 2019 a little bit as well. And 2019 was a year of investment as we were preparing for the launch of Simparica Trio. We did incremental investments in Apoquel DTC which I think you saw paid out a lot of benefits, and we had very high return on that, made the investments in reference labs as well, some acquisitions, so really making sure that we're not only investing for the short-term but also investing for the medium and long-term.

And also from a CapEx perspective, you saw that in 2019 we had elevated CapEx to the range of about \$450 million as we're looking to bring more of our manufacturing capacity in-house [indiscernible] (00:34:49) critical APIs and critical products.

As we move into 2020, again continued investment in certain key areas from an SG&A perspective, a little less benefit at the gross margin perspective as you mentioned, primarily driven by foreign exchange. But still margin expansion coming from the fact that our expenses are expected to grow at a slower pace than revenue. The other factor to point out when you look at 2020 in particular, so in 2019 we had 10% growth in revenue with about 14% growth in adjusted net income.

The guidance that we have for 2020 is 7% to 9.5% growth in revenue and 8% to 11% growth at adjusted net income. A big reason why we're at 8% to 11% is the change in tax rate year-over-year. We had a lot of favorable discrete items in 2019 that we don't expect to recur in 2020, and that lowers our growth in income by about 300 basis points, and which is why you see a little different spread between revenue and income than you would see in any particular year. And we wouldn't expect that to repeat as we move beyond 2020.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

Got you. And then just another question on something that's come up a lot and that's topical is coronavirus, and your exposure to China. Obviously, you talked about your overall revenue exposure at length given all the ASF impact. So first one I ask, is there any direct exposure that you would think of or that you've seen either in a companion animal or the livestock business, but then also what about indirect exposure in terms of API sourcing, supply chain, that...

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. Sure. As you size the market for China, for us, it's about a \$200 million market. What we've seen and what we've heard to-date in terms of the impact of coronavirus that could have an impact on that direct revenue, as you mentioned, would be two things. A, from a companion animal perspective, our customers bringing their pets into the vet for visits. And we expect that traffic to be slower now obviously based on the impact of the coronavirus.

The other factor and what we're hearing a lot is the food and beverage industry has been negatively impacted based on the coronavirus obviously due to less travel into the markets, and also people just going out less for dinner and things of that nature. So that from a short-term perspective will limit the amount of protein consumption. So, those are two areas that we expect will impact our direct business. We don't expect it at a material level to-date, but again, based on the amount of time that the virus stays out there, that can have an impact over time. But it's a little too early to tell the magnitude of that.

From an other – other area of perspectives in terms about supply chain, APIs, things of that nature, we typically carry for the most of our products over six months of inventory of API. So, we don't expect a disruption into our overall supply chain based on what we know today.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

Okay. Any other questions from the audience? All right.

Q

Can you just maybe flesh out that compliance point on the flea and tick market? You said that there's a lot of room for growth. Why is the compliance so low? Is that – there maybe just some factors behind that and why that might have changed?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. So, I mean I think if you ask most, they will say that the compliance should be 12 months, right, that you should have flea and tick compliance for 12 months and you should have heartworm compliance for 12 months. I think there is a belief though that there is a season for where flea and ticks are much more prevalent and that's where they're used more rapidly is within that peak season. And part of the education is to know that flea and ticks do exist throughout the year and the compliance in the usage should be for the 12 month and you should be protecting heartworm for 12 months as well.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

I guess I'll take the last one as we're winding down. What are we not asking? Sort of what are we overlooking? What do you think are the biggest risks or potential surprises to either the upside or the downside in 2020? Because I mean obviously Simparica I feel like we've – Simparica Trio, the derm portfolio, diagnostics, livestock market, feels like we've sort of covered everything, but I'm always wary of what it is that we're not asking. So, what are you thinking about that we're not?

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

So, no, I mean obviously those are the key areas of focus for us as well as we move into 2020. Having a successful launch of Simparica Trio, continuing to grow our derm portfolio but also what we're excited about for 2020 as we said on the call, we expect to return to growth on all of our core species as well, right?

And that again drives the benefit of the diversity of our portfolio, the geographic presence that we have and that's one of the very strong areas for Zoetis. We are incredibly diverse and our revenue is very durable. So if there's upsides or downsides in any particular area, we're usually able to offset that and others.

I think 2019 was a great example of that. The impact of African Swine Fever, very challenging US cattle market, and we still performed very well because of the innovation we bring to the market, because of the diversity of our portfolio, we were able to offset the impacts that we had there.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Okay. That's great. And with that I think we're out of time. So, thank you so much.

Glenn C. David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Thank you.

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